IWM RUSSELL 2000 SCANNER

SCAN (18:21 ET)

May 18, 2026 | 06:24 PM ET

4 setups identified | 0 A-Grade | 3 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (3)	C - Watch List (1)
	KGS	VCYT
	SDRL	
	SLNO	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	KGS	Kodiak Gas Servi	Energy Services M	$75.78	+3.1%	$6.7B	88M	+42.2	99%	KGS is breaking out ne
B	SDRL	Seadrill Limited	Offshore Drilling	$54.80	+4.0%	$3.4B	58M	+17.2	99%	SDRL is surging near i
B	SLNO	Soleno Therapeut	Rare Disease Biot	$53.01	+0.0%	$2.8B	52M	+29.8	59%	SLNO is exhibiting a t
C	VCYT	Veracyte, Inc.	Genomic Diagnosti	$41.50	+7.8%	$3.3B	79M	+5.4	82%	VCYT is surging +7.85%

KGS

Kodiak Gas Services, Inc.

$75.78

+3.12%

RS vs SPY: +42.2%

B STRONG SETUP

$6.7B Cap | 88M Float

Oil & Gas Equipment & Services | Theme: Energy Services Momentum | 52W Hi: 99% | Base Tight: 2.62 | Vol: 2.01x | RS/SPY: +42.2% | Above 20MA: YES | EARNINGS IN

SETUP METRICS

Price	**$75.78**
Day Change	**+3.12%**
Mkt Cap	**$6.73B**
Float	**88M sh**
RS vs SPY	**+42.2%**
52W Hi Prox	**99%**
Base Tight	**2.62**
Vol vs Avg	**2.01x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

KGS is breaking out near 52-week highs (+98.8% proximity) on sector-wide energy momentum, likely driven by strong contract compression demand and tightening natural gas service capacity. The primary forward catalyst is the August 5 earnings print - a serial outperformer in this cycle, KGS has benefited from the natural gas infrastructure build-out tied to LNG export demand; any guidance raise or contract expansion announcement in the lead-up to that print can extend the move significantly.

BUSINESS & POSITION

Kodiak Gas Services is the largest independent provider of contract compression services for natural gas production, gathering, and processing in the U.S., with a dominant position in the Permian Basin and other major shale plays. Its asset-heavy, contracted-revenue model provides durable cash flow visibility, and its scale advantages allow it to capture outsized share as producers require larger horsepower compression for deeper, more prolific wells.

FACTOR & THEME

Directly leveraged to the U.S. natural gas infrastructure build cycle - a secular tailwind driven by LNG export capacity expansion, data center power demand for gas-fired generation, and the broader domestic energy renaissance. Energy is the second-leading sector this week (+8.4% vs SPY), providing a meaningful macro tailwind for continuation.

BREAKOUT SIGNAL

Close above $75.78 (current session high, within 1.2% of $76.68 52W high) on volume >2.0x 20-day average - confirmed breakout to new all-time territory on sustained energy sector momentum

INSTITUTIONAL

No insider buying recorded in the last 60 days per Form 4 filings; institutional ownership data is not available from this feed - recommend cross-referencing 13F filings for the full picture given KGS's $6.7B market cap would typically command 60-80%+ institutional ownership. The 2.01x volume surge on a near-52-week-high breakout is consistent with institutional accumulation rather than retail FOMO, given the relatively large float of 88M shares. Short interest and days-to-cover data are unavailable in this feed but KGS as a large-cap energy services leader is unlikely to carry extreme short interest.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings August 5. KGS went public via merger in 2023 and has established a pattern of beating compressed natural gas revenue estimates driven by utilization rate upside. Consensus likely anchored on mid-single-digit revenue growth; any acceleration in horsepower deployment or contract pricing improvement would be a positive surprise. Full beat/miss history across 4+ quarters is not available in this feed.

KEY RISK

Thesis is invalidated on a daily close back below $72.50 (the prior consolidation shelf); additionally, any pullback in natural gas spot prices below $3.00/MMBtu or a guidance trim at the August 5 earnings print would undermine the compression demand thesis structurally.

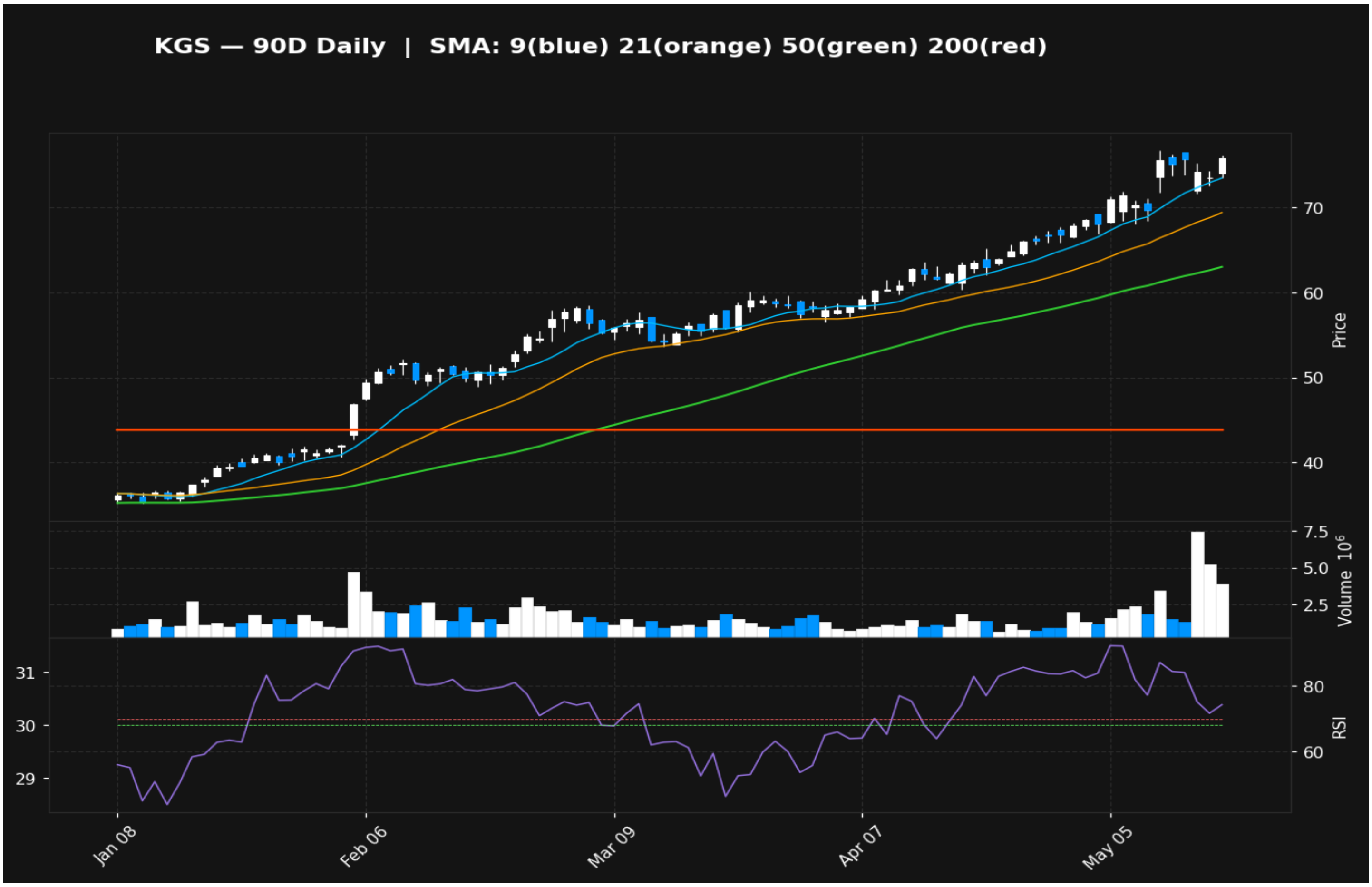
ANALYSIS

The strongest disconfirming evidence is the wide base (base_tight 2.62, above the ideal <2.0 VCP threshold) and the absence of an RS line at a new 52-week high - this is a stock approaching but not yet confirming leadership relative to the broader market, limiting the A-grade designation despite exceptional rs_vs_spy of +42.2. Energy sector tailwinds (+8.4% vs SPY this week) and near-52-week-high proximity are compelling, but the setup lacks the coil tightness that signals institutional absorption is complete. Worth owning into the August 5 catalyst with a defined stop. Conviction: Medium.

Signal: Close above $75.78 (current session high, within 1.2% o

Vol vs Avg: 2.01x

KGS - Technical Chart



SDRL

Seadrill Limited

$54.80

+3.98%

RS vs SPY: +17.2%

B STRONG SETUP

$3.4B Cap | 58M Float

Oil & Gas Drilling | Theme: Offshore Drilling Cycle | 52W Hi: 99% | Base Tight: 4.75 | Vol: 1.89x | RS/SPY: +17.2% | Above 20MA: YES | EARNINGS IN 79D

SETUP METRICS

Price	**$54.80**
Day Change	**+3.98%**
Mkt Cap	**$3.43B**
Float	**58M sh**
RS vs SPY	**+17.2%**
52W Hi Prox	**99%**
Base Tight	**4.75**
Vol vs Avg	**1.89x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

SDRL is surging near its 52-week high on broad offshore drilling sector momentum, likely catalyzed by firm ultra-deepwater dayrate commentary across the peer group and sustained crude oil price support above $70. The key forward catalyst is the August 5 earnings print where dayrate progression on contract renewals and fleet utilization will determine whether the re-rating continues; additionally, any major contract announcement (multi-year ultra-deepwater award) between now and August would be a material positive.

BUSINESS & POSITION

Seadrill is a leading offshore drilling contractor operating a fleet of ultra-deepwater drillships and harsh-environment jack-ups, having emerged from bankruptcy in 2022 with a clean balance sheet and modern fleet positioning. The company competes directly with Transocean and Valaris in the high-specification ultra-deepwater market, where dayrates have recovered sharply toward cycle highs due to structural undersupply of sixth and seventh-generation rigs.

FACTOR & THEME

Pure-play on the offshore drilling upcycle - a multi-year capital expenditure recovery by national oil companies and IOCs in deepwater acreage, driven by energy security concerns and the need to replace onshore production decline. The energy sector is the second-strongest leading sector this week (+8.4% vs SPY), providing direct tailwind, though commodity price volatility remains the key macro swing factor.

BREAKOUT SIGNAL

Close above $55.17 (52-week high) on volume >1.9x 20-day average - confirmed breakout to new 52-week high territory in a leading energy subsector

INSTITUTIONAL

No insider buying in the last 60 days per SEC Form 4 filings. Institutional ownership data is unavailable from this feed; given the $3.4B market cap and post-bankruptcy emergence, cross-referencing 13F filings is important - distressed-to-growth re-rating situations often see evolving institutional ownership as generalist funds replace distressed buyers. The 1.89x volume surge on a near-52-week-high print with a small float of 57.5M shares suggests real capital rotation into the name. Short interest in post-bankruptcy offshore drillers can be structurally elevated; days-to-cover data not available in this feed.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings August 5. SDRL's earnings quality is driven by dayrate locked in on existing contracts versus spot market repricing; the forward setup is constructive if management can confirm 2026-2027 contract coverage at rates above prior-year levels. Beat/miss history across 4 quarters not fully available in this feed given the 2022 emergence timeline.

KEY RISK

Thesis is invalidated on a daily close back below $51.00 (near the prior base midpoint); a crude oil close below $68/bbl sustained for more than three sessions, or a peer group dayrate disappointment at any major contractor earnings print before August 5, would signal the upcycle thesis is stalling.

ANALYSIS

The most compelling disconfirming evidence is the extremely wide base (base_tight 4.75 - nearly 3x the ideal coil threshold), indicating the stock has not yet gone through the institutional absorption process that precedes the cleanest breakouts; this is a raw momentum move in a hot sector, not a Qullamaggie-style VCP setup. RS line is not at a new high, and the rs_vs_spy of +17.2, while solid, is modest relative to the magnitude of the 52-week price recovery (+146% from low). Energy sector leadership provides a grade-support factor. The trade works in a sustained offshore upcycle but is vulnerable to sharp sector reversals given the wide, unstructured base. Conviction: Medium.

Signal: Close above $55.17 (52-week high) on volume >1.9x 20-da

Vol vs Avg: 1.89x

SDRL - Technical Chart

SLNO

Soleno Therapeutics, Inc.

$53.01

+0.04%

RS vs SPY: +29.8%

B STRONG SETUP

$2.8B Cap | 52M Float

Biotechnology | Theme: Rare Disease Biotech Coil | 52W Hi: 59% | Base Tight: 1.52 | Vol: 2.67x | RS/SPY: +29.8% | Above 20MA: YES | EARNINGS IN 79D

SETUP METRICS

Price	**$53.01**
Day Change	**+0.04%**
Mkt Cap	**$2.76B**
Float	**52M sh**
RS vs SPY	**+29.8%**
52W Hi Prox	**59%**
Base Tight	**1.52**
Vol vs Avg	**2.67x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

SLNO is exhibiting a textbook VCP coil (base_tight 1.52) with elevated volume (2.67x) despite virtually zero price change (+0.04%), a classic signature of institutional absorption - supply being quietly exhausted without sellers driving price lower. The primary forward catalyst is a potential FDA or regulatory milestone for diazoxide choline extended-release (DCCR) for Prader-Willi syndrome, a rare orphan disease with no approved pharmacological treatment; any NDA submission update, advisory committee scheduling, or PDUFA date announcement would be a high-impact binary catalyst over the coming months.

BUSINESS & POSITION

Soleno Therapeutics is a late-stage rare disease biopharmaceutical company developing DCCR (diazoxide choline controlled-release) as the first disease-modifying pharmacological treatment for Prader-Willi syndrome (PWS), a severe genetic disorder causing hyperphagia and cognitive impairment. With orphan drug designation and a regulatory pathway through FDA, SLNO represents a potential category-creating drug in a market with zero approved competitors and significant unmet need.

FACTOR & THEME

Directly exposed to the rare disease / orphan drug secular theme, which commands consistent premium valuations due to pricing power, limited competition, and expedited regulatory pathways. The GLP-1 / metabolic disorder thematic tailwind provides adjacent interest from investors tracking hyperphagia-adjacent mechanisms, though DCCR operates through a distinct mechanism (ATP-sensitive potassium channel activation).

BREAKOUT SIGNAL

Close above $55.00 on volume >2.7x 20-day average - breakout from VCP coil (base_tight 1.52) with volume confirming institutional demand absorbing overhead supply

INSTITUTIONAL

No insider buying recorded in the last 60 days per SEC Form 4 filings. Institutional ownership data is not available from this feed - for a $2.76B market-cap rare disease biotech, 13F cross-referencing is essential; this stage of development typically attracts dedicated healthcare long/short funds and biotech-specialist crossover investors. The standout signal here is the silent-build pattern: 2.67x volume with effectively zero price movement is a textbook institutional absorption signature - supply is being absorbed without sellers pushing price lower. This is the strongest technical feature of this setup.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings August 5. For a pre-commercial rare disease biotech, P/E is inapplicable - valuation reflects pipeline optionality and the binary FDA pathway for DCCR. Earnings prints for SLNO are primarily R&D expense and cash burn reads; the more significant catalysts are regulatory milestones rather than quarterly financials. Cash runway and burn rate will be cited in the August print.

KEY RISK

Thesis is invalidated on a daily close back below $48.00 (base low support); the single most catastrophic risk is an FDA Complete Response Letter (CRL) or clinical hold for DCCR - this is a binary, non-recoverable event that would likely cut the stock 50-70%. Any signal of FDA concern, patient safety flag, or unexpected delay in PDUFA scheduling would invalidate the setup immediately regardless of technical structure.

ANALYSIS

The strongest disconfirming evidence is the severe distance from the 52-week high (prox_52w 58.7% - the stock is 41% below its $90.32 high), meaning this is a base-building setup within a larger downtrend recovery, not a clean breakout to new highs; the RS line is not at a new high, confirming the stock is still in relative underperformance mode versus its peak. The 1.52 base_tight and 2.67x volume surge are genuinely exceptional - this is a textbook silent-build coil - but the stock needs to clear significant overhead supply before it can be considered a true leadership breakout. The rare disease FDA binary risk and lack of imminent confirmed PDUFA date make forward catalyst timing uncertain. Healthcare sector is not among the leading sectors this week, providing no tailwind. Conviction: Medium.

Signal: Close above $55.00 on volume >2.7x 20-day average - bre

Vol vs Avg: 2.67x

SLNO - Technical Chart